Futures Basis and Next-Day Spot Returns on the Vietnamese VN30 Index

SIQuant Research[1]

[1]Hypothesis × Quant

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Abstract

Hypothesis: H_0: the VN30 futures basis at day t has no relation to the VN30 return on $t+1$; H_1: the relation is positive
Data: 2,285 sessions, 2017-08-24 to 2026-10-22 (0 sessions with |basis| > 10% dropped)
Method: OLS with Newey–West HAC errors (5 lags) and a 2,000-draw circular-shift placebo; ACCEPTED only if both one-sided $p < 0.05$
Results: $\beta = 0.0319$ (HAC $t = 0.55$, $p = 0.2921$; placebo $p = 0.2779$), $R^2 = 0.0003$; top-minus-bottom basis quintile next-day return 0.168%.
Research decision: **REJECTED**

1 Design

The VN30 futures are the only liquid index derivative in Vietnam and retail-heavy, so the basis may capture sentiment before it reaches the cash market [Hasbrouck, 2003]. Both prices are daily closes of the same session; the return of the next session is the outcome, hence there is no overlap with the predictor.

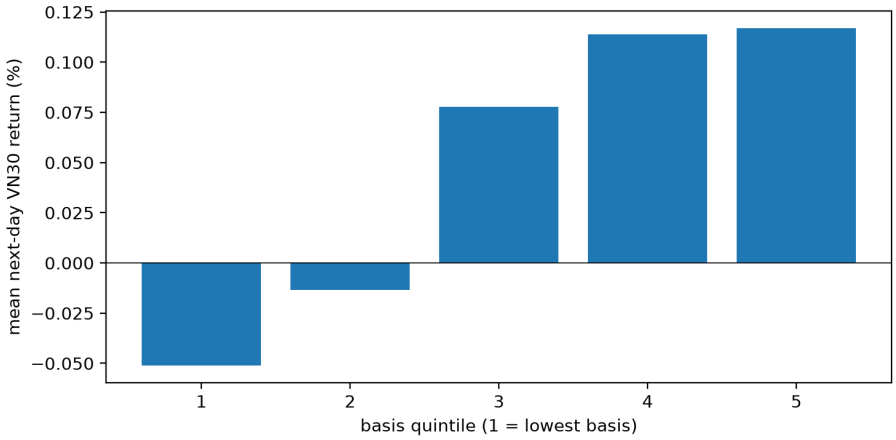


Figure 1: Mean next-day VN30 return by basis quintile.

2 Limitations

The series is a continuous front-month series, so the basis is mechanically linked to time to expiry and to dividends, which are not modelled. Daily closes cannot reveal intraday lead–lag effects.

References

Joel Hasbrouck. Intraday price formation in us equity index markets. *The Journal of Finance*, 58 (6):2375–2400, 2003.